

MINDTECK SINGAPORE PTE LTD
Company Registration No. 199904845D

**DIRECTORS' STATEMENT
AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2023**

NLA DFK ASSURANCE PAC
Chartered Accountants
Singapore

MINDTECK SINGAPORE PTE LTD
Company Registration No. 199904845D

**DIRECTORS' STATEMENT
AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2023**

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MINDTECK SINGAPORE PTE LTD
Company Registration No. 199904845D

Directors' statement
for the financial year ended 31 March 2023

The directors are pleased to present their statement to the member together with the audited financial statements of Mindteck Singapore Pte Ltd (the "Company") for the financial year ended 31 March 2023.

1. Opinion of the directors

In the opinion of the directors,

- (a) the financial statements of the Company set out on pages 6 to 35 are drawn up so as to give a true and fair view of the financial position of the Company as at 31 March 2023 and the financial performance, changes in equity and cash flows of the Company for the financial year then ended; and
- (b) at the date of this statement, there are reasonable grounds to believe that the Company will be able to pay its debts as and when they fall due.

2. Directors

The directors of the Company in office at the date of this statement are:

Jacob Pillay
Harish Aravindakshan Nair

3. Arrangements to enable directors to acquire shares or debentures

Neither at the end of nor at any time during the financial year was the Company a party to any arrangement whose objects are, or one of whose objects is, to enable the directors of the Company to acquire benefits by means of the acquisition of shares or debentures of the Company or any other body corporate.

4. Directors' interests in shares or debentures

According to the register of directors' shareholdings kept by the Company under section 164 of the Companies Act 1967, the directors of the Company who held office at the end of the financial year had no interests in the shares or debentures of the Company and its related corporations.

5. Share options

There were no share options granted during the financial year to subscribe for unissued shares of the Company.

There were no shares issued during the financial year by virtue of the exercise of options to take up unissued shares of the Company.

There were no unissued shares of the Company under option at the end of the financial year.

MINDTECK SINGAPORE PTE LTD
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Directors' statement (continued)
for the financial year ended 31 March 2023

6. Auditor

NLA DFK Assurance PAC has expressed its willingness to accept re-appointment as auditor.

The Board of Directors



Jacob Pillay
Director



Harish Aravindakshan Nair
Director

30 JUN 2023

**Independent auditor's report to the member of
MINDTECK SINGAPORE PTE LTD**
Company Registration No. 199904845D

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Mindteck Singapore Pte Ltd (the "Company") set out on pages 6 to 35, which comprise the statement of financial position as at 31 March 2023, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the financial year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements are properly drawn up in accordance with the provisions of the Companies Act 1967 (the "Act") and Financial Reporting Standards in Singapore ("FRSs") so as to give a true and fair view of the financial position of the Company as at 31 March 2023 and of the financial performance, changes in equity and cash flows of the Company for the financial year ended on that date.

Basis for Opinion

We conducted our audit in accordance with Singapore Standards on Auditing ("SSAs"). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the Accounting and Corporate Regulatory Authority ("ACRA") *Code of Professional Conduct and Ethics for Public Accountants and Accounting Entities* ("ACRA Code") together with the ethical requirements that are relevant to our audit of the financial statements in Singapore, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ACRA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other Information

Management is responsible for the other information. The other information comprises the Directors' Statement as set out on pages 1 to 2.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Other Matter

The financial statements of the Company for the financial year ended 31 March 2022 were audited by another auditor whose report dated 1 July 2022 expressed an unmodified opinion on those financial statements.

**Independent auditor's report to the member of
MINDTECK SINGAPORE PTE LTD (continued)**
Company Registration No. 199904845D

Report on the Audit of the Financial Statements (continued)

Responsibilities of Management and Directors for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with the provisions of the Act and FRSS, and for devising and maintaining a system of internal accounting controls sufficient to provide a reasonable assurance that assets are safeguarded against loss from unauthorised use or disposition; and transactions are properly authorised and that they are recorded as necessary to permit the preparation of true and fair financial statements and to maintain accountability of assets.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The directors' responsibilities include overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SSAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- (a) Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- (b) Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- (c) Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

**Independent auditor's report to the member of
MINDTECK SINGAPORE PTE LTD (continued)**
Company Registration No. 199904845D

Report on the Audit of the Financial Statements (continued)

Auditor's Responsibilities for the Audit of the Financial Statements (continued)

- (d) Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- (e) Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on Other Legal and Regulatory Requirements

In our opinion, the accounting and other records required by the Act to be kept by the Company have been properly kept in accordance with the provisions of the Act.



Public Accountants and
Chartered Accountants
Singapore

30 June 2023

Name of engagement director: Low Xiachao

MINDTECK SINGAPORE PTE LTD
Company Registration No. 199904845D

Statement of financial position
as at 31 March 2023

	Note	2023 S\$	2022 S\$ (Note 23)
ASSETS			
Current assets			
Cash and bank balances		1,453,132	1,426,482
Trade and other receivables	4	1,565,287	1,039,352
Prepayments		11,237	12,109
Amount due from related parties	5	240,506	131,340
		<u>3,270,162</u>	<u>2,609,283</u>
Non-current assets			
Plant and equipment	6	2,122	3,210
Right-of-use assets	7	-	10,823
		<u>2,122</u>	<u>14,033</u>
Total assets		<u>3,272,284</u>	<u>2,623,316</u>
LIABILITIES AND EQUITY			
Current liabilities			
Other payables and accruals	8	851,575	541,547
Amount due to related parties	9	79,291	165,352
Contract liabilities	10	-	5,219
Lease liability	11	-	11,252
Income tax payable		91,018	22,880
		<u>1,021,884</u>	<u>746,250</u>
Equity			
Share capital	12	1,310,500	1,310,500
Retained earnings		939,900	566,566
Total equity		<u>2,250,400</u>	<u>1,877,066</u>
Total liabilities and equity		<u>3,272,284</u>	<u>2,623,316</u>

The accompanying notes form an integral part of these financial statements.

MINDTECK SINGAPORE PTE LTD
Company Registration No. 199904845D

Statement of comprehensive income
for the financial year ended 31 March 2023

	Note	2023 S\$	2022 S\$ (Note 23)
Revenue	13	5,765,075	4,571,013
Cost of service		<u>(4,757,084)</u>	<u>(3,861,174)</u>
Gross profit		1,007,991	709,839
Other income	14	105,957	134,001
Administrative expenses		(651,047)	(620,599)
Other expenses		(11,911)	(22,663)
Finance costs	15	<u>(173)</u>	<u>(1,212)</u>
Profit before income tax	16	450,817	199,366
Income tax expense	17	<u>(77,483)</u>	<u>(21,534)</u>
Profit for the financial year, representing total comprehensive income for the financial year		<u>373,334</u>	<u>177,832</u>

The accompanying notes form an integral part of these financial statements.

MINDTECK SINGAPORE PTE LTD
Company Registration No. 199904845D

Statements of changes in equity
for the financial year ended 31 March 2023

	Share capital S\$	Retained earnings S\$	Total S\$
At 1 April 2022	1,310,500	566,566	1,877,066
Total comprehensive income for the financial year	-	373,334	373,334
At 31 March 2023	1,310,500	939,900	2,250,400
At 1 April 2021	1,310,500	388,734	1,699,234
Total comprehensive income for the financial year	-	177,832	177,832
At 31 March 2022 (Note 23)	1,310,500	566,566	1,877,066

The accompanying notes form an integral part of these financial statements.

MINDTECK SINGAPORE PTE LTD
Company Registration No. 199904845D

Statement of cash flows
for the financial year ended 31 March 2023

	Note	2023 S\$	2022 S\$ (Note 23)
Cash flows from operating activities			
Profit before income tax		450,817	199,366
Adjustments for:			
Depreciation of plant and equipment	16	1,088	1,018
Depreciation of right-of-use assets	16	10,823	21,645
Interest expense	15	173	1,212
Operating cash flows before changes in working capital		462,901	223,241
Changes in working capital:			
Trade and other receivables		(525,935)	150,594
Prepayment		872	398
Other payables and accruals		310,028	38,179
Amount due to related parties		(99,731)	(53,503)
Contract liabilities		(5,219)	5,219
Cash generated from operations		142,916	364,128
Income tax paid		(9,345)	(6,046)
Net cash from operating activities		133,571	358,082
Cash flows from investing activities			
Purchase of plant and equipment, representing net cash used in investing activities	6	-	(3,260)
Cash flows from financing activities			
Amount due from related parties		(109,166)	128,402
Amount due to related parties		13,670	9,663
Repayment of lease liability	11	(11,425)	(22,850)
Net cash (used in)/from financing activities		(106,921)	115,215
Net increase in cash and cash equivalents		26,650	470,037
Cash and cash equivalents at beginning of financial year		1,426,482	956,445
Cash and cash equivalents, representing cash and bank balances at end of financial year		1,453,132	1,426,482

The accompanying notes form an integral part of these financial statements.

MINDTECK SINGAPORE PTE LTD
Company Registration No. 199904845D

Notes to the financial statements
for the financial year ended 31 March 2023

These notes form an integral part and should be read in conjunction with the accompanying financial statements.

1. General

Mindteck Singapore Pte Ltd (the “Company”) is a limited liability company incorporated and domiciled in the Republic of Singapore. The registered office and principal place of business is located at 7B Keppel Road, #05-09, Tanjong Pagar Complex, Singapore 089055.

The principal activities of the Company are those of software development and consultancy services and the provision of contract information technology professionals.

The Company is a wholly-owned subsidiary of Mindteck (India) Limited, a company domiciled and incorporated in India, which is also listed in the Bombay Stock Exchange.

2. Summary of significant accounting policies

2.1 Basis of preparation

The financial statements of the Company have been drawn up in accordance with the Financial Reporting Standards in Singapore (“FRS”). The financial statements have been prepared on the historical cost basis except as disclosed in the accounting policies below.

The financial statements are presented in Singapore dollar (“S\$”) which is the Company’s functional currency. All financial information presented are denominated in Singapore dollar unless otherwise stated.

2.2 Adoption of new and amended standards and interpretations

The accounting policies adopted are consistent with those of the previous financial year except that in the current financial year, the Company has adopted all the new and amended standards which are relevant to the Company and are effective for annual financial periods beginning on or after 1 April 2022. The adoption of these standards did not have any material effect on the financial performance or position of the Company.

2.3 Adoption of and amended standards

The Company has not adopted the following new and amended standards to the company that have been issued but not yet effective:

<u>Description</u>	<u>Effective for annual periods beginning on or after</u>
Amendments to FRS 117 <i>Insurance Contracts</i>	1 January 2023
Amendments to FRS 1 and FRS Practice Statement 2: <i>Disclosure of Accounting Policies</i>	1 January 2023
Amendments to FRS 8: <i>Definition of Accounting Estimates</i>	1 January 2023

MINDTECK SINGAPORE PTE LTD
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Notes to the financial statements
for the financial year ended 31 March 2023

2. Summary of significant accounting policies (continued)

2.3 Adoption of and amended standards (continued)

<u>Description</u>	<u>Effective for annual periods beginning on or after</u>
Amendments to FRS 12 <i>Deferred Tax related to Assets and Liabilities arising from a Single Transaction</i>	1 January 2023
Amendments to FRS 117 <i>Initial Application of FRS 117 and FRS 109 – Comparative Information</i>	1 January 2023
Amendments to FRS 1: <i>Classification of Liabilities as Current or Non-current</i>	1 January 2024
Amendments to FRS 116: <i>Lease Liability in a Sale and Leaseback</i>	1 January 2024
Amendments to FRS 1 <i>Non-current Liabilities with Covenants</i>	1 January 2024
Amendments to FRS 7 and FRS107: <i>Supplier Finance Arrangements</i>	1 January 2024
Amendments to FRS 110 and FRS 28 <i>Sale or Contribution of Assets between an Investor and its Associate or Joint Venture</i>	Date to be determined

The directors expect that the adoption of the other standards above will have no material impact on the financial statements in the period of initial application.

2.4 Foreign currencies transactions and balances

Transactions in foreign currencies are measured in the functional currency of the Company and are recorded on initial recognition in the functional currency at exchange rates approximating those ruling at the transaction dates. Monetary assets and liabilities denominated in foreign currencies are translated at the rate of exchange ruling at the end of the reporting period. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was measured.

Exchanges differences arising on the settlement of monetary items or on translating monetary items at the end of the reporting period are recognised in profit or loss.

2.5 Exemption from consolidation

The financial statements are separate financial statements of the Company. The Company is exempted from the preparation of consolidated financial statements as the Company is a wholly-owned subsidiary of Mindteck (India) Limited, a company incorporated in India, which prepares the consolidated financial statements and has its registered office at, A.M.R. Tech Park, Block 1, 3rd Floor, No. 664, 23/24, Hosur Main Road, Bommanahalli Bangalore, Karnataka 560068, India. The consolidated financial statements are obtainable at the registered office.

Notes to the financial statements
for the financial year ended 31 March 2023

2. Summary of significant accounting policies (continued)

2.6 Financial instruments

(a) Financial assets

Initial recognition and measurement

Financial assets are recognised when, and only when, the Company becomes a party to the contractual provisions of the financial instruments.

At initial recognition, the Company measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss (FVPL), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at fair value through profit or loss are expensed in profit or loss.

Trade receivables are measured at the amount of consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third party, if the trade receivables do not contain a significant financing component at initial recognition.

Subsequent measurement

Subsequent measurement of debt instruments depends on the Company's business model for managing the asset and the contractual cash flow characteristics of the asset. The three measurement categories for classification of debt instruments are amortised cost, fair value through other comprehensive income and FVPL. The Company only has debt instruments at amortised cost.

Financial assets that are held for the collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Financial assets, mainly cash and bank balances and trade and other receivables (excludes GST receivables), are subsequently measured at amortised cost using the effective interest method, less impairment. Gains and losses are recognised in profit or loss when the assets are derecognised or impaired, and through amortisation process.

Derecognition

A financial asset is derecognised when the contractual right to receive cash flows from the asset has expired. On derecognition of a financial asset in its entirety, the difference between the carrying amount and the sum of the consideration received and any cumulative gain or loss that had been recognised in other comprehensive income for debt instruments is recognised in profit or loss.

Notes to the financial statements
for the financial year ended 31 March 2023

2. Summary of significant accounting policies (continued)

2.6 Financial instruments (continued)

(b) Financial liabilities

Initial recognition and measurement

Financial liabilities are recognised when, and only when, the Company becomes a party to the contractual provisions of the financial instrument. The Company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value plus in the case of financial liabilities not at fair value through profit or loss, directly attributable transaction costs.

Subsequent measurement

After initial recognition, financial liabilities that are not carried at fair value through profit or loss are subsequently measured at amortised cost using the effective interest method. These financial liabilities mainly comprise other payables and accruals (excludes GST payable), amount due to related parties and lease liability. Gains and losses are recognised in profit or loss when the liabilities are derecognised, and through the amortisation process.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. On derecognition, the difference between the carrying amount and the consideration paid is recognised in profit or loss.

(c) Offsetting of financial instruments

Financial assets and liabilities are offset and the net amount reported on the statement of financial position when there is a legally enforceable right to offset and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously.

2.7 Impairment of financial assets

The Company recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at fair value through profit or loss and financial guarantee contracts. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is recognised for credit losses expected over the remaining life of the exposure, irrespective of timing of the default (a lifetime ECL).

Notes to the financial statements
for the financial year ended 31 March 2023

2. Summary of significant accounting policies (continued)

2.7 Impairment of financial assets (continued)

For trade receivables, the Company applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at the end of each reporting period. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

The Company considers a financial asset in default when contractual payments are 90 days past due. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

2.8 Plant and equipment

All items of plant and equipment are initially recorded at cost. Subsequent to recognition, plant and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses. The cost of property, plant and equipment includes its purchase price and any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Dismantlement, removal or restoration costs are included as part of the cost of plant and equipment if the obligation for dismantlement, removal or restoration is incurred as a consequence of acquiring or using the plant and equipment.

Depreciation is calculated using the straight-line method to allocate depreciable amounts over their estimated useful lives. The estimated useful lives are as follows:

	<u>Useful lives</u>
Computers and software	3 years
Furniture and fittings	3 years
Office equipment	5 years
Office renovation	2 years

The carrying values of plant and equipment are reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable.

Fully depreciated plant and equipment are retained in the accounts until they are no longer in use.

The useful lives and depreciation method are reviewed at the end of each reporting period, and adjusted prospectively, if appropriate.

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss on derecognition of the assets is included in profit or loss in the year the asset is derecognised.

Notes to the financial statements
for the financial year ended 31 March 2023

2. Summary of significant accounting policies (continued)

2.9 Impairment of non-financial assets

The Company assesses at the end of each reporting period whether there is an indication that an asset may be impaired. If any indication exists, or when an annual impairment testing for an asset is required, the Company makes an estimate of the asset's recoverable amount.

An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs of disposal and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or group of assets. Where the carrying amount of an asset or cash-generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. The impairment losses are recognised in profit or loss.

A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increase cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised previously. Such reversal is recognised in profit or loss.

2.10 Provisions

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and the amount of the obligation can be estimated reliably.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognized as a finance cost.

2.11 Share capital

Proceeds from issuance of ordinary shares are recognised as share capital in equity. Incremental costs directly attributable to the issuance of ordinary shares are deducted against share capital.

Notes to the financial statements
for the financial year ended 31 March 2023

2. Summary of significant accounting policies (continued)

2.12 Revenue

Revenue is measured based on the consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to customer, excluding amounts collected on behalf of third parties.

Revenue is recognised when the Company satisfies a performance obligation by transferring a promised good or service to the customer, which is when the customer obtains control of the good or service. A performance obligation may be satisfied at a point in time or over time. The amount of revenue recognised is the amount allocated to the satisfied performance obligation.

(a) Rendering of services

Revenue arising from the placement of temporary or contract term, is recognised at the point in time that temporary workers are provide. Where the Company is acting as a principal, turnover represents the amounts billed for the services of the temporary workers, including the remuneration costs of the temporary workers. The commission included which the revenue recognised arising from temporary placements is typically based on a percentage of the placements hourly rate.

2.13 Employee benefits

(a) Short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee, and the obligation can be estimated reliably.

(b) Defined contribution plans

The Company makes contributions to the Central Provident Fund ("CPF") scheme in Singapore, a defined contribution pension scheme. Contributions to defined contribution pension schemes are recognised as an expense in the period in which the related service is performed.

2.14 Government grants

Government grants are recognised as a receivable when there is reasonable assurance that the grant will be received and all attached conditions will be complied with.

Where the grant relates to an expense item, it is recognised as income on a systematic basis over the periods that the related costs, for which it is intended to compensate, are expensed. When the grant relates to an asset, the fair value is recognised as deferred income on the statement of financial position and is recognised as income in equal amounts over the expected useful life of the related asset.

Notes to the financial statements
for the financial year ended 31 March 2023

2. Summary of significant accounting policies (continued)

2.14 Government grants (continued)

Where loans or similar assistance are provided by governments or related institutions with an interest rate below the current applicable market rate, the effect of this favourable interest is regarded as additional government grant.

2.15 Leases

The Company assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

As lessee

The Company applied a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Company recognises lease liabilities representing the obligation to make lease payments and right-of-use assets representing the right to use the underlying leased assets.

(a) Right-of-use assets

The Company recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct cost incurred, and lease payments made at or before the commencement date less any lease incentives received. Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets.

If ownership of the leased asset transfers to the Company at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset. The right-of-use assets are also subject to impairment. The accounting policy for impairment is disclosed in Note 2.7.

The Company's right-of-use assets are presented as a separate line item on the statement of financial position.

(b) Lease liabilities

At the commencement date of the lease, the Company recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivables, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Company and payments of penalties for terminating the lease, if the lease term reflects the Company exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognised as expense in the period in which the event or condition that triggers the payment occurs.

Notes to the financial statements
for the financial year ended 31 March 2023

2. Summary of significant accounting policies (continued)

2.15 Leases (continued)

(b) Lease liabilities (continued)

In calculating the present value of lease payments, the Company uses the incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in lease payments (e.g. changes to future payments resulting from a change in an index or rate used to determine such lease payment) or a change in the assessment to purchase the underlying asset.

The Company's lease liabilities are presented as a separate line item on the statement of financial position.

(c) Short-term leases and leases of low-value assets

The Company applies the short-term lease recognition exemption to its short-term leases of machinery (i.e. those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases of office equipment that are considered to be low value. Lease payments on short-term leases and leases of low value assets are recognised as expense on a straight-line basis over the lease term.

2.16 Taxes

(a) Current income tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authority. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the end of the reporting date.

Current income taxes are recognised in profit or loss except to the extent that the tax relates to items recognised outside profit or loss, either in other comprehensive income or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Notes to the financial statements
for the financial year ended 31 March 2023

2. Summary of significant accounting policies (continued)

2.16 Taxes (continued)

(b) Deferred tax

Deferred tax is provided using the liability method on temporary differences at the end of the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are generally recognised for all taxable temporary differences and deferred tax assets are recognised to the extent that it is probable that taxable profits will be available against which deductible temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at the end of each reporting period and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current income tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

(c) Goods and Services Tax ("GST")

Revenues, expenses and assets are recognised net of the amount of GST except:

- (i) Where the GST incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case the GST is recognized as part of the cost of acquisition of the asset or as part of the expense item as applicable; and

(c) Goods and Services Tax ("GST") (continued)

- (ii) Receivables and payables that are stated with the amount of GST included.

The net amount of GST recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the statement of financial position.

Notes to the financial statements
for the financial year ended 31 March 2023

2. Summary of significant accounting policies (continued)

2.17 Related parties

A related party is defined as follows:

- (a) A person or a close member of that person's family is related to the Company if that person:
 - (i) Has control or joint control over the Company;
 - (ii) Has significant influence over the Company; or
 - (iii) Is a member of the key management personnel of the Company or of a parent of the Company.
- (b) An entity is related to the Company if any of the following conditions applies:
 - (i) The entity and the Company are member of the same group (which means that each parent, subsidiary and fellow subsidiary is related to the others).
 - (ii) One entity is an associate or joint venture of the other entity (or an associate or joint venture of a member of a group of which the other entity is a member).
 - (iii) Both entities are joint ventures of the same third party.
 - (iv) One entity is a joint venture of a third entity and the other entity is an associate of the third entity.
 - (v) The entity is a post-employment benefit plan for the benefit of employees of either the Company or an entity related to the Company.
 - (vi) The entity is controlled or jointly controlled by a person identified in (a).
 - (vii) A person identified in (a)(i) has significant influence over the entity or is a member of the key management personnel of the entity (or of a parent of the entity).
 - (viii) The entity, or any member of a group of which it is a part, provides key management personnel services to the reporting entity or to the parent of the reporting entity.

Notes to the financial statements
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3. Significant accounting judgement and estimates

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities at the end of each reporting period. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in the future periods.

3.1 Judgements made in applying accounting policies

The management is of the opinion that there are no significant judgements made in applying the accounting policies that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

3.2 Key sources of estimation uncertainty

The key assumptions concerning the future and other key sources of estimation uncertainty at the end of the reporting period are discussed below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

(a) Provision for expected credit losses of trade and other receivables

The Company uses a provision matrix to calculate ECLs for trade receivables. The provision rates are based on days past due for groupings of various customer segments that have similar loss patterns.

The provision matrix is initially based on the Company's historical observed default rates. The Company will calibrate the matrix to adjust historical credit loss experience with forward-looking information. At the end of every reporting period, historical default rates are updated and changes in the forward-looking estimates are analysed.

The assessment of the correlation between historical observed default rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Company's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future. The information about the ECLs on the Company's trade and other receivables is disclosed in Note 20(a).

The carrying amount of the trade and other receivables as at reporting date is disclosed in Note 4.

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4. Trade and other receivables

	2023 S\$	2022 S\$
Trade receivables:		
- Related parties (Note 18)	1,194,134	417,662
- Third parties	340,210	575,068
Less: Allowance for expected credit losses	(5,552)	-
	1,528,792	992,730
Other receivables	8,224	23,339
Deposits	11,031	11,031
GST receivables	17,240	12,252
	<u>1,565,287</u>	<u>1,039,352</u>

Trade receivables are non-interest bearing and are generally on 30 - 90 days' (2022: 30 - 90 days') terms.

Unbilled revenue included in trade receivables from third parties amounted to S\$185,801 (2022: S\$114,622) pertains to receivable for services completed but invoices are not yet issued as at the reporting date.

The movement in allowance for expected credit losses ("ECL") of trade receivables computed based on lifetime ECL was as follows:

	Lifetime ECL (Not credit- impaired) S\$
At 1 April 2022	-
Allowance made	(5,552)
At 31 March 2023	<u>(5,552)</u>
At 1 April 2021	38,520
Allowance written back during the year	(38,520)
At 31 March 2022	<u>-</u>

5. Amount due from related parties

Amount due from related parties are non-trade in nature, unsecured, non-interest bearing and recoverable on demand.

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6. Plant and equipment

	Computer and software S\$	Furniture and fittings S\$	Office equipment S\$	Renovation S\$	Total S\$
<u>Cost</u>					
At 1 April 2021	172,114	6,744	21,510	26,415	226,783
Additions	3,260	-	-	-	3,260
At 31 March 2022	175,374	6,744	21,510	26,415	230,043
At 1 April 2022 and 31 March 2023	175,374	6,744	21,510	26,415	230,043
<u>Accumulated depreciation</u>					
At 1 April 2021	171,721	6,675	21,004	26,415	225,815
Depreciation charge	443	69	506	-	1,018
At 31 March 2022	172,164	6,744	21,510	26,415	226,833
At 1 April 2022	172,164	6,744	21,510	26,415	226,833
Depreciation charge	1,088	-	-	-	1,088
At 31 March 2023	173,252	6,744	21,510	26,415	227,921
<u>Carrying amount</u>					
At 31 March 2022	3,210	-	-	-	3,210
At 31 March 2023	2,122	-	-	-	2,122

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7. Right-of-use assets

The carrying amount of the Company's right-of-use assets and movement during the year are as follows:

	Office premise S\$
At 1 April 2021	32,468
Depreciation charge	(21,645)
As at 31 March 2022	<u>10,823</u>
At 1 April 2022	10,823
Depreciation charge	(10,823)
At 31 March 2023	<u>-</u>

As lessee

The company has lease contracts for its premises. The Company's obligations under the lease for the premises is secured by the lessor's title to the leased assets. The Company is restricted from assigning and subleasing the leased assets. The lease contracts include extension options.

The corresponding lease liability is disclosed in Note 11.

8. Other payables and accruals

	2023 S\$	2022 S\$
Other payables	186,121	151,153
Accrued operating expenses	532,993	310,076
GST payable	132,461	79,958
	<u>851,575</u>	<u>541,547</u>

9. Amount due to related parties

	2023 S\$	2022 S\$
Trade	79,291	99,730
Non-trade	-	65,622
	<u>79,291</u>	<u>165,352</u>

Amount due to related parties are unsecured, non-interest bearing and repayable on demand:

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10. Contract liabilities

Contract liabilities relate to contract revenue represents the excess of milestone payments over the revenue recognised to date and advances received from customers. Contract liabilities are recognised as revenue as the Company performs under the contracts.

	2023 S\$	2022 S\$
Contract liabilities	<u>-</u>	<u>5,219</u>

11. Lease liability

The carrying amount of the lease liability and the movement during the financial year are as below:

	2023 S\$	2022 S\$
At 1 April	11,252	32,890
Accretion of interest	173	1,212
Cash flows payment in financing activities	<u>(11,425)</u>	<u>(22,850)</u>
At 31 March	<u>-</u>	<u>11,252</u>

12. Share capital

	2023 S\$	2022 S\$
<u>Issued and fully paid</u>		
1,310,500 (2022: 1,310,500) ordinary shares at beginning and end of financial year	<u>1,310,500</u>	<u>1,310,500</u>

The holders of the ordinary shares are entitled to receive dividends as and when declared by the Company. All ordinary shares carry one vote per share without restrictions. The ordinary shares have no par value.

13. Revenue

	2023 S\$	2022 S\$
Consultancy services, point in time	<u>5,765,075</u>	<u>4,571,013</u>

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14. Other income

	2023 S\$	2022 S\$
Government grants	105,317	91,982
Allowance for expected credit losses written back	-	38,520
Payable written off	-	3,300
Others	640	199
	<u>105,957</u>	<u>134,001</u>

15. Finance costs

	2023 S\$	2022 S\$
Interest expense on lease liabilities	<u>173</u>	<u>1,212</u>

16. Profit before income tax

This is determined after charging the following:

	2023 S\$	2022 S\$
Consultancy charges	1,308,908	889,658
Consultants' salaries and CPF	3,434,813	2,936,428
Project supplies	13,363	35,088
Telephone Expense	4,235	6,033
Depreciation of plant and equipment (Note 6)	1,088	1018
Depreciation of right-of-use assets (Note 7)	10,823	21,645
Employee benefits expense		
- Salaries, bonus and other short-term benefits	474,595	560,179
- Employer's contribution to Central Provident Fund	34,707	34,799
	509,302	594,978
Loss on foreign exchange, net	31,475	39,054
Office rental service charges	23,829	12,424
Short-term lease	<u>11,425</u>	<u>-</u>

Employee benefits expense includes key management personnel compensation as discussed in Note 18.

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17. Income tax expense

The major components of income tax expense recognised in profit or loss for the financial years ended 31 March 2023 and 31 March 2022 were:

	2023 S\$	2022 S\$
Current income tax		
- Current financial year	77,483	20,753
- Under provision in prior financial years	-	781
	<u>77,483</u>	<u>21,534</u>

The reconciliation between tax expense and the product of accounting profit multiplied by the applicable corporate tax rate were as follows:

	2023 S\$	2022 S\$
Profit before income tax	<u>450,817</u>	<u>199,366</u>
Income tax using the statutory tax rate of 17% (2022: 17%)	76,639	33,892
Tax effects of		
- Income not subject to tax	-	(34)
- Non-deductible expenses	2,255	4,874
- Tax incentives and rebates	(17,425)	(17,425)
- Deferred tax liabilities not recognised	-	(554)
- Under provision of current income tax in prior financial years	-	781
- Other	16,014	-
	<u>77,483</u>	<u>21,534</u>

18. Significant related party transactions

In addition to the related party information disclosed elsewhere in the financial statements, the following transactions with related parties took place on terms agreed between the parties during the financial year.

	2023 S\$	2022 S\$
<i>With related parties</i>		
Fees paid or payable to the Company	1,194,134	417,662
Fees paid or payable to the related parties	<u>(1,003,137)</u>	<u>(767,566)</u>

The related parties are entities in which shareholders and certain directors of the Company are also the shareholders and directors of the entities.

The balances with related parties are expected to be settled in cash, unless otherwise stated.

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18. Significant related party transactions (continued)

Compensation of key management personnel

There are no key management personnel other than the directors of the Company. The remuneration of the directors of the company during the financial year were follows:

	2023 S\$	2022 S\$
Short-term employee benefits	-	175,948
Post-employment benefits	-	4,860
	<u>-</u>	<u>180,808</u>

Key management personnel are those persons having the authority and responsibility for planning, directing and controlling the activities of the Company, directly or indirectly, including any director (whether executive or otherwise) of the Company.

19. Fair values of assets and liabilities

(a) Assets and liabilities not measured at fair value

Cash and bank balance, other receivables, other payables and amount due from/(to) related parties

The carrying amounts of these balances approximate their fair values due to the short-term nature of these balances.

Trade receivables

The carrying amounts of these balances (including balances with related parties) approximate their fair values as they are subject to normal trade credit terms or are short-term in nature.

Lease liability

The carrying amount of this balance approximate its fair values as it is subject to interest rate close to market rates of interest for similar arrangements with financial institution.

20. Financial risk management

The Company's activities expose it to a variety of financial risks from its operation. The key financial risks include credit risk, liquidity risk and market risk (including foreign currency risk and interest rate risk).

The directors reviews and agrees policies and procedures for the management of these risks, which are executed by the management team. It is, and has been throughout the current and previous financial years, the Company's policy that no trading in derivatives for speculative purposes shall be undertaken.

Notes to the financial statements
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20. Financial risk management (Continued)

The following sections provide details regarding the Company's exposure to the above-mentioned financial risks and the objectives, policies and processes for the management of these risks.

There has been no change to the Company's exposure to these financial risks or the manner in which it manages and measures the risks.

(a) Credit risk

Credit risk refers to the risk that the counterparty will default on its contractual obligations resulting in a loss to the Company. The Company's exposure to credit risk arises primarily from trade and other receivables. For other financial assets (including cash and cash equivalents), the Company minimises credit risk by dealing exclusively with high credit rating counterparties.

The Company has adopted a policy of only dealing with creditworthy counterparties. The Company performs ongoing credit evaluation of its counterparties' financial condition and generally do not require a collateral.

The Company considers the probability of default upon initial recognition of asset and whether there has been a significant increase in credit risk on an ongoing basis throughout each reporting period.

The Company has determined the default event on a financial asset to be high when internal and/or external information indicates that the financial asset is unlikely to be received, which could include default of contractual payments due for more than 180 days, default of interest due for more than 90 days or there is significant difficulty of the counterparty.

To minimise credit risk, the Company has developed and maintained the Company's credit risk gradings to categorise exposures according to their degree of risk of default. The credit rating information is supplied by publicly available financial information and the Company's own trading records to rate its major customers and other debtors. The Company considers available reasonable and supportive forward-looking information which includes the following indicators:

- (i) Internal credit rating
- (ii) External credit rating
- (iii) Actual or expected significant adverse changes in business, financial or economic conditions that are expected to cause a significant change to the debtor's ability to meet its obligations
- (iv) Actual or expected significant changes in the operating results of the debtor
- (v) Significant increases in credit risk on other financial instruments of the same debtor
- (vi) Significant changes in the expected performance and behaviour of the debtor, including changes in the payment status of debtors in the group and changes in the operating results of the debtor.

Regardless of the analysis above, a significant increase in credit risk is presumed if a debtor is more than 90 days past due in making contractual payment.

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20. Financial risk management (Continued)

(a) Credit risk (continued)

The Company determined that its financial assets are credit-impaired when:

- (i) There is significant difficulty of the debtor
- (ii) A breach of contract, such as a default or past due event
- (iii) It is becoming probable that the debtor will enter bankruptcy or other financial reorganisation
- (iv) There is a disappearance of an active market for that financial asset because of financial difficulty

The Company categorises a receivable for potential write-off when a debtor fails to make contractual payments more than 90 days past due. Financial assets are written off when there is evidence indicating that the debtor is in severe financial difficulty and the debtor has no realistic prospect of recovery.

The Company's current credit risk grading framework comprises the following categories:

<u>Category</u>	<u>Definition of category</u>	<u>Basis for recognising expected credit loss (ECL)</u>
I	Counterparty has a low risk of default and does not have any past-due amounts.	12-month ECL
II	Amount is 90 days past due or there has been a significant increase in credit risk since initial recognition.	Lifetime ECL – not credit-impaired
III	Amount is 180 days past due or there is evidence indicating the asset is credit-impaired (in default).	Lifetime ECL – credit-impaired
IV	There is evidence indicating that the debtor is in severe financial difficulty and the debtor has no realistic prospect of recovery.	Amount is written off

The table below details the credit quality of the Company's financial assets, as well as maximum exposure to credit risk by credit risk rating categories:

	Note	Category	12-month or lifetime ECL	Gross carrying amount S\$	Loss allowance S\$	Net carrying amount S\$
2023						
Trade receivables	4	Note 1	Lifetime ECL (simplified)	1,342,991	-	1,342,991
Other receivables	4	1	12-month ECL	194,025	-	194,025
Deposits	4	1	12-month ECL	11,031	-	11,031
Cash and bank balances		1	12-month ECL	1,453,132	-	1,453,132

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20. Financial risk management (continued)

(a) Credit risk (continued)

	Note	Category	12-month or lifetime ECL	Gross carrying amount	Loss allowance	Net carrying amount
<u>2022</u>						
Trade receivables	4	Note 1	Lifetime ECL (simplified)	878,108	-	878,108
Other receivables	4	1	12-month ECL	150,213	-	137,961
Deposits	4	1	12-month ECL	11,031	-	11,031
Cash and bank balances		1	12-month ECL	1,426,482	-	1,426,482
					<u>-</u>	

Exposure to credit risk

Of the trade receivables balance as at the end of the reporting period, S\$956,059 (2022: S\$746,727) are due from 4 (2022: 4) customers, the Company's largest customers. There are no other customers who represent more than 5% of the total balance of trade receivables. The Company has credit policies and procedures in place to minimise and mitigate its credit risk exposure.

Other receivables

The Company assessed the latest performance and financial position of the counterparties, adjusted for the future outlook of the industry in which the counterparties operate in, and concluded that there has been no significant increase in the credit risk since the initial recognition of the financial assets. Accordingly, the Company measured the impairment loss allowance using 12-month ECL and determined that the ECL is insignificant.

Deposits

The management assess that there are no material ECL on the deposits.

Cash and bank balances

Bank deposits are with reputable financial institutions with high credit-ratings assigned by international credit-rating agencies. Impairment on cash and bank balances has been measured on the 12-month expected loss basis and reflects the short maturities of the exposures. The Company considers that its cash and bank balances have low credit risk based on the external credit ratings of the counterparties. The amount of the allowance on cash and cash equivalents was immaterial.

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20. Financial risk management (continued)

(b) Liquidity risk

Liquidity risk refers to the risk that the Company will encounter difficulties in meeting its short-term obligations due to shortage of funds. The Company's exposure to liquidity risk arises primarily from mismatches of the maturities of financial assets and liabilities. It is managed by matching the payment and receipt cycles. The Company's operations are financed mainly through equity. The directors are satisfied that funds are available to finance the operations of the Company.

The financial liabilities of the Company as at 31 March 2023 and 31 March 2022 are repayable on demand or within 1 year from the reporting date.

(c) Market risk

Market risk is the risk that changes in market prices, such as interest rates and foreign exchange rates will affect the Company's profit or loss. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return on risk.

(i) Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of the Company's financial instruments will fluctuate because of changes in market interest rates. The Company's profit or loss is not affected by the changes in interest rates as the Company's interest bearing financial liabilities are at fixed rates and are measured at amortised cost.

The Company does not expect any significant effect on the Company's profit or loss arising from the effects of reasonably possible changes to interest rates on interest bearing financial instruments at the end of the financial year.

(ii) Foreign currency risk

The Company's foreign exchange risk results mainly from cash flows from transactions denominated in foreign currencies. At present, the Company does not have any formal policy for hedging against currency risk. The Company ensures that the net exposure is kept to an acceptable level by buying or selling foreign currencies at spot rates, where necessary, to address short term imbalances.

The Company have transactional currency exposures arising from sales or purchases that are denominated in currencies other than the functional currency of the Company, primarily United States dollar (USD), Malaysian ringgit (MYR) and Euro dollar (EURO).

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20. Financial risk management (continued)

(c) Market risk (continued)

(ii) Foreign currency risk (continued)

The Company's currency exposures to USD, MYR, and EURO at the end of the reporting period were as follows:

	USD S\$	MYR S\$	EURO S\$
2023			
<u>Financial assets</u>			
Amount due from related parties	45,678	-	130,086
<u>Financial liabilities</u>			
Other payables and accruals	10,636	-	-
Amount due to related parties	12,618	40,766	-
	23,254	40,766	-
 Net currency exposures	 22,424	 (40,766)	 130,086
 2022			
<u>Financial assets</u>			
Amount due from related parties	43,048	-	60,148
<u>Financial liabilities</u>			
Other payable and accruals	16,974	-	-
Amount due to related parties	45,094	14,231	-
	62,068	14,231	-
 Net currency exposures	 (19,020)	 (14,231)	 60,148

A 5% (2022: 5%) strengthening of Singapore dollar against the foreign currencies denominating balances as at the end of the reporting period would increase/(decrease) profit or loss by the amounts shown below. This analysis assumes that all other variables remain constant.

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20. Financial risk management (continued)

(c) Market risk (continued)

(ii) Foreign currency risk (continued)

	Profit or loss (after income tax)	
	2023	2022
	S\$	S\$
US dollar	(931)	789
Malaysian ringgit	1,692	591
Euro dollar	(5,399)	(2,496)

A 5% (2022: 5%) weakening of Singapore dollar against the above currencies would have had equal but opposite effect on the above currencies to the amounts shown above, on the basis that all other variables remain constant.

21. Financial instruments by category

At the end of the reporting period, the aggregate carrying amounts of financial assets and financial liabilities at amortised cost were as follows:

	2023 S\$	2022 S\$
<i>Financial assets</i>		
Cash and bank balances	1,453,132	1,426,482
Trade and other receivables	1,548,047	1,027,100
Amount due from related parties	240,506	131,340
	<u>3,241,685</u>	<u>2,584,922</u>
<i>Financial liabilities</i>		
Other payables and accruals	719,114	461,589
Contract liabilities	-	5,219
Lease liability	-	11,252
Amount due to related parties	79,291	165,352
	<u>798,405</u>	<u>643,412</u>

22. Capital management

The primary objective of the Company's capital management is to ensure that it maintains a strong credit rating and net current asset position in order to support its business and maximise shareholder value. The capital structure of the Company comprises issued share capital and retained earnings.

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Notes to the financial statements
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22. Capital management (continued)

The Company manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. No changes were made in the objectives, policies or processes during the financial years ended 31 March 2023 and 31 March 2022.

23. Comparative figures

- (a) Prior year comparatives have been audited by another firm of public accountants.
- (b) Certain reclassifications have been made to prior year's financial statements to enhance comparability with current year's financial statement. As a result, certain line items have been amended on the face of the statement of comprehensive income and the related notes to the financial statements.

	As previously reported 2022 S\$	After reclassification 2022 S\$
<u>Statement of comprehensive income</u>		
Administrative expenses	(621,811)	(620,599)
Finance costs	-	(1,212)

24. Authorisation of financial statements for issue

The financial statements for the financial year ended 31 March 2023 were authorised for issue in accordance with a resolution of the Board of Directors of the Company on 30 June 2023.

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